

Coca-Cola

CAGNY - Recruiting More “Intenders” and Execution Momentum = Compounding and Resilient Growth

We attended The Coca-Cola Company’s (KO, OW rated) presentation and Q&A at CAGNY today, in which CEO James Quincey and CFO John Murphy presented. Coming out of a strong Q424 print, which was one of the best absolute and especially relative growth performance vs. CPG stocks (accelerating the gap in KO’s favor), it was not surprising to see management confident with keeping the growth momentum. That said, the company acknowledges the geopolitical uncertainties and adverse FX volatility with a stronger U.S. dollar given that >80% of KO volumes are sold outside the U.S. The key takeaways were: (1) expanding the industry with new opportunities; (2) KO still has many levers to drive growth and margin expansion; (3) invest with discipline in a dynamic industry; and (4) KO ecosystem poised to continue to deliver enduring value. We felt that there was more emphasis on highlighting the historical balance of organic and bolt-on M&A (fairlife, Topo Chico, BODYARMOR, and Costa Coffee), which combined accounted for 25% of KO’s EPS growth since 2016. The company also highlighted that 15 out of its 30 billion-dollar brands were developed internally, for which investors can see the half-full or half-empty argument. We think it would make sense that post the high-capital-need years (fairlife earn-out, transition tax payments, IRS tax case escrow), the company is poised to deploy more capital in M&A (if a target has a high probability of a scalable impact) or share repurchases. Net-net, we remain confident that KO remains a top-line compounder with improved FCF conversion ahead post extraordinary payments.

- **Virtuous Cycle of Top-Line Growth through Innovation, and a Well-Aligned Ecosystem of Retail Partners and Bottlers to Capture More Transactions through Increased Consumption Occasions.** KO continues to excel in its ability to balance a quite complex network of partners (33M outlets across the globe that deliver 2.2bn servings a day) without overly complicating the system (streamlined from about 400 brands pre-COVID to 200 now). KO’s broad messaging on the long runway for beverage industry growth remained consistent, although relative to previously contextualizing in developed vs. developing world, management introduced an additional framework to investors including segmenting consumers on a continuum of Weekly+, Intenders, Neutrals, and Rejectors and also by broad channels of away-from-home, modern trade, and traditional trade. The opportunity in consumer segmentation is to convert the Intenders and Neutrals (4x the population of current Weekly+) into more frequent consumers, and the opportunity by channel is to increase basket incidence from current 6 out of 100 (each 1 point of incidence = \$40B retail sales). Management also identified more growth opportunities from in both developed (KO has ~14% volume market share) and developing and emerging markets (80% of world population) where KO only has about ~7% volume market share.
- **More Emphasis on M&A – Balance Sheet Healthy & Significant Dry Powder.** To us, management has begun to talk more to its inorganic track record more recently and its success in scaling bolt-on acquisitions to billion dollar

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Overweight

KO, KO US

Price (14 Feb 25):\$68.87

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brands (e.g., 15 of KO's 30 billion dollar brands have been through acquisitions with only three of those 15 being billion dollar brands at the time of acquisition). KO has moved leverage down to 1.8x (from ~2.7x at beginning of 2019), or around 2x inclusive of upcoming fairlife contingent consideration payment, and based on the high end of the company's 2-2.5x net leverage target the incremental debt capacity has grown to \$12.6B from \$7.8B in 2015. We also expect a material step up in FCF generation in 2026 as the company moves past some discrete cash needs (e.g., transition tax payments, IRS escrow payment, fairlife contingent consideration). With that it seems that KO will be well positioned to explore M&A opportunities to add brands in fast-growing categories.

- **Ample Levers for Continued Margin Progression Ahead.** KO has seen operating margins expand about +350 bps since 2017 to 30.0% in 2024, in line with the embedded margin progression outlined in the company's long-term algorithm. While some has been driven by structural changes (refranchising), the company has made progress on underlying margin drivers that should continue to benefit operating performance ahead despite headwinds from FX. CFO Murphy laid out six levers: RGM, marketing effectiveness, trade promotion optimization, "future ready" supply chain, continuous productivity mindset, and smart capital investments. KO is well known for its RGM capabilities, but more recently the company seems to be making a lot of progress on resource allocation and driving enhanced returns on spend. For example, since 2019 the company has seen SG&A as a percent of revenue decrease 4% and gross profit per ad spend increase +5%.
- **Marketing Effectiveness Hitting Its Stride Following Model Transformation.** Marketing effectiveness as one of the levers to margin expansion seems to be at an inflection point following marketing model transformation that began in 2020. The company's marketing model is now organized by its nine operating units connected through Studio X. CEO Quincey views Studio X as a material unlock for the company in delivering marketing faster, cheaper, and more effectively. The marketing effectiveness ultimately drives the top line and thus margin progression and allows the company to lift and shift ideas to scale successful messaging quickly. The company talked to the role technology is playing in its marketing as well, with the company leveraging AI to generate advertising faster and at lower cost.

Companies Discussed in This Report (all prices in this report as of market close on 14 February 2025, unless otherwise indicated)

Coca-Cola(KO/\$68.87/OW)

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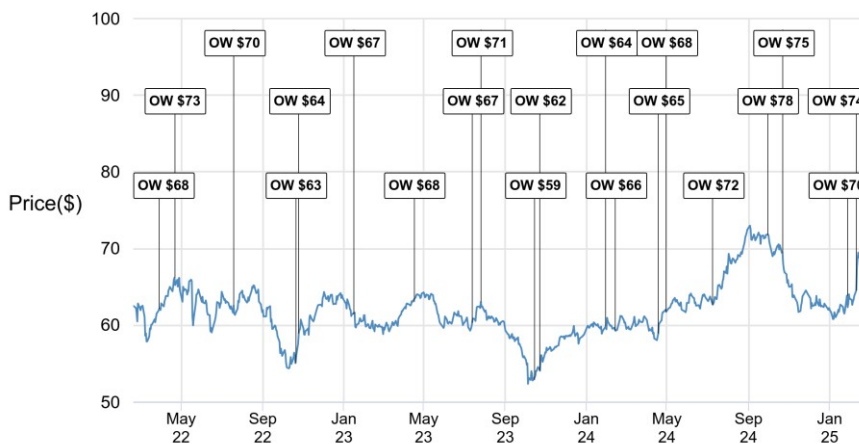
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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
30-Mar-22	OW	62.16	68
22-Apr-22	OW	66.21	73
20-Jul-22	OW	62.53	70
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62
31-Jan-24	OW	59.90	64
14-Feb-24	OW	59.35	66
19-Apr-24	OW	58.91	65
01-May-24	OW	61.77	68
10-Jul-24	OW	62.69	72
30-Sep-24	OW	71.79	78
23-Oct-24	OW	69.45	75
28-Jan-25	OW	63.87	70
11-Feb-25	OW	64.55	74

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